



Senator Robyn K. Kennedy
State House
24 Beacon Street, Room 507
Boston, MA 02133

Representative Lindsay N. Sabadosa
State House
24 Beacon Street, Room 160
Boston, MA 02133

Representative Steven Owens
State House
24 Beacon Street, Room 443
Boston, MA 02133

Senator John J. Cronin
Chair, Massachusetts Joint Committee on
Consumer Protection and Professional
Licensure
State House
24 Beacon Street, Room 218
Boston, MA 02133

Senator Susan L. Moran
Vice Chair, Massachusetts Joint Committee
on Consumer Protection and Professional
Licensure
State House
24 Beacon Street, Room 312-D
Boston, MA 02133

Representative Tackey Chan
Chair, Massachusetts Joint Committee on
Consumer Protection and Professional
Licensure
State House
24 Beacon Street, Room 42
Boston, MA 02133

Representative Mary S. Keefe
Vice Chair, Massachusetts Joint Committee
on Consumer Protection and Professional
Licensure
State House
24 Beacon Street, Room 466
Boston, MA 02133

RE: Massachusetts S.184 and H.386 – Oppose

Dear Senator Kennedy, Chair Cronin, Vice Chair Moran, Representative Sabadosa, Representative Owens, Chair Chan, and Vice Chair Keefe:

On behalf of the advertising industry, we provide input below on Massachusetts S.184 and H.386.¹ We offer this letter to express our non-exhaustive list of concerns about this legislation. Our organizations support the enactment of meaningful privacy protections for Massachusetts residents. However, as presently drafted, S.184 and H.386 would impose onerous restrictions on responsible industry practices that would not only create disharmony with every other state that has passed privacy legislation to date, but also have far-reaching, unintended, and unfavorable consequences for Massachusetts consumers and the business community alike.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which

¹ Massachusetts S.184 (Gen. Sess. 2023), located [here](#); Massachusetts H.386 (Gen. Sess. 2023), located [here](#).

accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendments to these bills outlined here.

I. The overly broad definition of “consumer health data” contained in the bills would impede Massachusetts residents from receiving useful and relevant information about products and services they may desire. S.184 and H.386 define “consumer health data” to broadly include “personal information relating to the past, present, or future physical or mental health of a consumer.”³ This definition could include information that is only tangentially related to the health of a consumer, such as the fact that a consumer purchased shampoo at a local grocer, attended a fitness event or signed up to receive promotional notices about specific clothing or footwear restocks. None of this information is inherently related to consumer health, but the bill’s broad definition of “consumer health data” could sweep such information into its ambit. Proceeding with the bills’ existing definition of “consumer health data” could prevent Massachusetts residents from receiving important, and potentially cost-saving, information about products and services they have purchased in the past or may desire to purchase in the future. For example, the existing overly broad definition could prevent Massachusetts consumers from receiving coupon codes for self-care products they enjoy, or promotional offers from apparel companies whose items they purchase. The bill should be updated to narrow the definition of the term “consumer health data” so information that is unrelated to a health diagnosis or condition may continue to be processed to benefit Massachusetts consumers in this manner.

II. The onerous consent requirements imposed by the bills would inundate Massachusetts residents with an overwhelming number of consent requests for even the most basic of data collection and processing activities. The bill would require Massachusetts residents to provide consent nearly *every time* a regulated entity collects or shares consumer health data, except in very narrow circumstances.⁴ In addition, the bills would require consumers to read through detailed disclosures *every time* they wish to consent to sharing of consumer health data.⁵ These requirements would result in significant consent fatigue for Massachusetts residents instead of providing meaningful privacy protections for consumers. S.184 and H.386’s detrimental—and likely unintentional—consequences would hinder consumers from receiving substantial benefits associated with routine and essential data practices while simultaneously placing overly burdensome requirements on regulated entities that collect and process any information that could even vaguely be related to consumer health.

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ S.184 § 1; H.386 § 1.

⁴ *Id.* at § 3(1), (2).

⁵ *Id.* at § 3(3).

III. Coupled with the bills’ overly broad definition of “consumer health data,” the bills’ wholesale ban on sales would preclude consumer choice and stifle advertising practices that generate value for consumers. No existing state privacy law, including consumer health data laws enacted earlier this year, imposes an outright ban on the sale of any type of consumer information.⁶ The wholesale ban on sales of consumer health data contained in S.184 and H.386 is entirely novel among existing privacy laws, and would infringe Massachusetts consumers’ ability to exercise control and choice over information related to them.⁷ Existing omnibus state privacy laws empower consumers to limit sales of information related to health or medical conditions or diagnoses to third party entities when they desire to do so, and this approach respects consumers’ ability to choose when information related to them is shared and with whom, while preserving far-reaching economic benefits that flow from responsible data use in advertising. Other laws prescribing specific requirements related to consumer health data provide a means for sales of such data to occur. No law to date imposes a flat ban on sales of consumer health data.

Complete bans on transfers of information can have detrimental effects to consumers and the economy. Over the past several decades, data-driven practices, including responsible data transfers, have created a platform for innovation and tremendous growth opportunities. Overly restrictive legislation that completely outlaws “sales” of data could yield tens of billions of dollars in losses for the U.S. economy.⁸ One recent study found that “[t]he U.S. open web’s independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025” if data transfers were to end “without mitigation.”⁹ Moreover, consumers themselves benefit immensely from data transfers that enable them to receive relevant messaging about products and services they may desire. In light of the overly broad definition of “consumer health data” in S.184 and H.386, we are concerned that the bills’ wholesale ban on sales of such data would detrimentally limit our members’ ability to reach Massachusetts residents through data-driven messaging with information about products and services that may be beneficial to their health and wellness in alignment with their interests and preferences. An approach that empowers and respects consumer education and choice related to consumer health data is appropriate, rather than an approach that entirely forecloses common, beneficial, and responsible business practices and data transfers.

IV. The bill’s private right of action is unworkable for consumers and businesses alike. S.184 and H.386’s private right of action under the Massachusetts Consumer Protection Act would create a complex and flawed compliance system without tangible privacy benefits for consumers.¹⁰ Allowing private actions would flood Massachusetts’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than

⁶ See, e.g., Washington HB 1155, located [here](#); Nevada SB 370, located [here](#).

⁷ See *id.* at § 6.

⁸ See John Deighton, *The Socioeconomic Impact of Internet Tracking* 4 (Feb. 2020), located [here](#).

⁹ *Id.* at 34.

¹⁰ S.184 § 7; H.386 § 7.

focusing on actual consumer harm.¹¹ Additionally, establishing a private right of action would have a chilling effect on the state's economy and encumber businesses' attempts to innovate by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.¹² Beyond the staggering cost to businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage you to remove the private right of action from S.184 and H.386 and make enforcement responsibility the purview of the Massachusetts Attorney General alone.

* * *

¹¹ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

¹² For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



We and our members support protecting consumer privacy. We believe, however, that S.184 and H.386 take an overly broad approach to the collection, use, and disclosure of any data that could possibly be related to or indicative of consumer health and would stifle business growth and innovation by imposing an outright ban on sales of such data. This approach would limit consumers' ability to access useful and relevant information and create disharmony among state privacy laws, resulting in unmanageable compliance costs for businesses. In addition, the bill's private right of action would provide a poor redress mechanism for consumers while subjecting honest, well-meaning businesses to potentially enterprise-threatening litigation costs. We therefore respectfully ask you to reconsider the bill. We would also very much welcome the opportunity to engage with you further about an appropriate way to define "consumer health data" and respect consumer choice related to transfers of such data so that Massachusetts residents can enjoy robust protections without forfeiting the ability to receive benefits from the modern data-driven economy.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
4A's
202-296-1883

Alison Pepper
Executive Vice President, Government Relations
American Association of Advertising Agencies,
202-355-4564

Lartease Tiffith
Executive Vice President for Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: Massachusetts S.184 and H.386 Co-Sponsors
Members of the Massachusetts Joint Committee on Consumer Protection and
Professional Licensure

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP